REAG

M&A Brokers | Lower Middle Market Investment Bank

100+ Successful Deals
25+ Industries
40+ Years of Collective Experience

Due Diligence Request List (1 of 8)

General

- ☑ Organizational chart and management structure
- ☑ Charter documents, operating agreements, by-laws, business licenses, certificates of authority and stock certificates
- ☑ Board actions and minutes
- ☑ Information and documentation on joint ventures, acquisition and/or disposals of subsidiaries, affiliates or major assets of the company (last five years)
- ☑ The Articles of Incorporation and any amendments
- ☑ List of company bylaws and amendments
- ☑ List of company assumed names
- ☑ List of all states or countries where the company does business, has employees or owns/leases an asset
- ☑ List of all shareholders and percentages owned
- ☑ A Certificate of Good Standing from each Secretary of State where the company does business

Facilities

- ☑ Listings of all owned and/or leased property and locations
- ☑ Copies of deeds, mortgages, real estate leases, title policies and zoning approvals
- ☑ Details on any facility turnarounds (last five years)
- ☑ Details on any facility openings or closings (last five years)

Products and Services

- ☑ List of products and services offered
- ☑ List of products and services in development
- ☑ Correspondence and documents related to the regulatory approval of product lines
- ☑ A list of major customers and product applications
- ☑ Tests, evaluations, studies and surveys about products or services under development

Due Diligence Request List (2 of 8)

Finance

- ☑ Internal and external audits and work papers (last five years and YTD)
- ☑ Audit inquiry responses and opinion letters from legal counsel for the past three years
- ☑ Consolidated financials (last five years and YTD)
- ☑ Consolidated quarterly financials (last five years and YTD)
- ☑ Trial balances (last five years and YTD)
- ☑ Description of any off-balance sheet commitments
- ☑ Description of any contingent liabilities
- ☑ Price and volume data by division and product annually
- ☑ Annual P&L (last five years and YTD)
- ☑ Locations of accounting records and personnel
- ☑ Accounting policies and procedures
- ☑ Details on raw materials
- ☑ Details on cash balances including cash in different jurisdictions and accounts
- ☑ Details on any restructuring efforts including costs, timing, rationale and P&L impact (historical and projected)
- ☑ Details on new product initiatives strategy, cost and P&L impact
- ☑ Detailed CAPEX schedule including breakout between maintenance, growth, and new products and acquisitions (last three years and YTD)
- ☑ Annual profitability by customer (last five years and YTD)
- ☑ Annual breakdown of sales, volume and gross margin by product, by region and by customer
- ☑ Historical accounts receivable schedule
- ☑ Most up-to-date A/R aging
- ☑ Details on any recognized bad debt expense, write offs and recoveries
- ☑ Breakdown of cost of goods sold
- ☑ SG&A details
- ☑ A list of non-operational expenses
- ☑ Business plan or most recent forecast, including projections for five years

Due Diligence Request List (3 of 8)

Inventories

- ☑ Summary of the composition of inventory for the last five years
- ☑ List of products as at the most recent balance sheet date
- ☑ List of inventory including the result of the last physical count, reconciled with the accounting balance at the date of the physical count
- ☑ Details of any inventories maintained offsite
- ☑ Breakdown of inventory by classification (finished goods, WIP, raw materials)
- ☑ Inventory aging

Banks and Financing

- ☑ List of all banks with which the company maintains financials and commercial relations
- ☑ Detailed debt schedule
- ☑ Promissory notes
- ☑ Equipment/other lease agreements
- ☑ Bank reconciliations (past three years)

Fixed Assets

- ☑ Summary schedule showing the composition of the company's fixed assets
- ☑ Schedule showing owned and leased assets
- ☑ Detailed fixed asset and depreciation schedule
- ☑ List of leased equipment
- ☑ List of major equipment sales and purchases over the past three years

Customers

- ☑ List of top 25 customers for the past three years
- ☑ List of sales from top 25 customers over the past three years
- ☑ Details on customers including number, length of relationships, concentrations
- ☑ Customer terms and credit limits
- ☑ Average customer purchase amounts
- ☑ Current and historical backlogs
- ☑ Status of relationships with major customers

Due Diligence Request List (4 of 8)

Suppliers

- ☑ List of suppliers with open balances at the most recent balance sheet date
- ☑ List of overdue payable amounts as at the most recent balance sheet date
- ☑ List of suppliers in total, by region and by end product
- ☑ List of top suppliers' terms
- ☑ Most up-to-date A/P aging

Competitors

- ☑ List of significant competitors by end-market and region
- ☑ Pricing trends/behavior by key competitors
- ☑ Description of competitors including strengths, weaknesses, market position and basis of competition

Sales and Marketing

- ☑ Information of the company's sales strategy and compensation structure associated with each channel
- ☑ Information on the business development process (i.e., how opportunities are identified, how are bids determined, etc.)
- ☑ List of articles and press releases about the company within the last three years
- ☑ Description of major marketing channels and expenditures
- ☑ Current ad programs, marketing budgets and printed pdf marketing materials
- ☑ List of customer complaints and resolutions
- ☑ Incentive compensation plan(s) for sales team
- ☑ Research on methods/plans to obtain new business
- ☑ Lead sourcing and customer management processes
- ☑ List of all websites used and URL expiration dates
- ☑ Tracking of new business opportunities

Due Diligence Request List (5 of 8)

Operations

- ☑ Workflow of operations
- ☑ Schedule of unfilled orders
- ☑ Monthly manufacturing yields
- ☑ Products returned by customer for the past five years
- ☑ Key Performance Indicators (KPI) (last five years and YTD)

Contracts

- ☑ Material supply and sourcing contracts
- ☑ Material customer contracts
- ☑ All nondisclosure and noncompete agreements
- ☑ List of mortgages, collateral pledges, indentures and security agreements
- ☑ Contracts, transcripts or letters of divestures from any merger or acquisition within the past five years
- ☑ Exclusivity agreements
- ☑ Indemnification agreements
- ☑ Copies of federal, state and local licenses, permits and consent forms
- ☑ Loan agreements, credit lines, IRBs, derivatives, letters of credit, promissory notes, security agreements, financing details, guarantees, equipment leases and other financing documents

Labor Relations

- ☑ Employee agreements, applications for employment, hire letters and descriptions of oral/informal promises or commitments regarding terms of employment
- ☑ Payrolls, together with general summary (last five years and YTD)
- ☑ Employees by location, department, salaried vs hourly, union vs nonunion, and current compensation and employment
- ☑ Employee headcount by location and function (last five years and YTD)
- ☑ Resumes, history and experience of key employees, including senior management
- ☑ Layoff and severance package information
- ☑ List of harassment, wrongful termination and discrimination disputes within the past five years

Due Diligence Request List (6 of 8)

Taxes

- ☑ All applicable tax returns filed for the last five years (federal, state, local, property and foreign)
- ☑ Detailed explanations of general accounting principles
- ☑ Details on any deferred tax assets and liabilities
- ☑ Details on any non-deductible expenses
- ☑ Reconciliation from marginal to effective tax rate
- ☑ Nature and location of assets of the corporation and their respective fair market values and tax bases
- ☑ Federal or state tax audits and supplementary materials
- ☑ Schedule of financing for debt and equity
- ☑ Property taxes paid for past three years
- ☑ List of any tax liens
- ☑ IRS Form 5500 for 401k plans
- ☑ Excise tax filings for the past five years
- ☑ All audit reports and employment tax filings for the past five years
- ☑ Tax settlement documents over the past three years
- ☑ List of undisclosed tax liabilities
- ☑ International income tax planning, strategy, analysis and advice received
- ☑ All applicable tax returns filed for the last five years (federal, state, local, property and foreign)
- ☑ Detailed explanations of general accounting principles
- ☑ Details on any deferred tax assets and liabilities

Environmental

- ☑ Copies of environmental audits and compliance reports for each company property
- ☑ List describing or identifying any environmental liabilities or contingencies
- ☑ Provide any completed environmental studies
- ☑ Environmental liabilities and valuation
- ☑ Prior ownership of facilities

Due Diligence Request List (7 of 8)

Environmental - Continued

- ☑ Costs for environmental compliance
- ☑ List of hazardous wastes or hazardous materials used in production
- ☑ Description of company disposal methods for hazardous materials, recyclables, etc.
- ☑ List of terminated licenses or permits
- ☑ List of any superfund exposure
- ☑ Copies of notices or filings with the Environmental Protection Agency (EPA)
- ☑ List of any environmental investigations and pending litigation
- ☑ Notices of violations received in the past three years

Insurance

- ☑ Current schedule of insurance listing each insurance in force, insurance company, type of coverage, term of policy, insured value or limits of liability and annual premium, including but not limited to:
  - Worker's compensation
  - General liability
  - Personal and property
  - Directors and officers
  - Errors and omissions
  - Key-man
  - Product liability
  - Vehicle
  - Intellectual property
- ☑ Documentation regarding insurance claims and coverage denials in the last three years
- ☑ Insurance costs for the most recent year
- ☑ List of all company vehicles and a list of drivers containing name and driver's license state and number
- ☑ Insurance carrier inspection reports

Due Diligence Request List (8 of 8)

Real and Personal Property

- ☑ List of all real estate, condition of facilities and needs to major expenditures to maintain/upgrade
- ☑ Real estate valuation reports (including building, inventory, furniture/fixtures)
- ☑ Title reports and property surveys
- ☑ Vehicle fleet details as applicable
- ☑ Major fixed assets and equipment
- ☑ Properties held for sale
- ☑ Lease/sublease agreements
- ☑ Notices/relevant correspondences, including side letters or agreements, alleged defaults, renewal of leases, easements/encumbrances
- ☑ Contracts for capital improvements

Research and Development

- ☑ R&D organizational overview
- ☑ Key personnel
- ☑ Title reports, roadmaps and property surveys
- ☑ New product/service pipeline
- ☑ Development costs
- ☑ List of any patents or trademarks and expiration dates